Beginner Teaching: How to Read Tomorrow Night’ s US CPI｜初学者教学版 (English)

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1. Plain words: what is happening?

Every month the US Bureau of Labor Statistics reports how much a basket of goods and services got more expensive. That’s CPI. Tomorrow’s report covers September. Markets care most about **core CPI**, which strips out food and energy, because it shows whether inflation is sticking around.

2. Glossary｜术语表

English	中文	One-line meaning
CPI (Consumer Price Index)	消费者价格指数	a thermometer for consumer prices
Core CPI	核心 CPI	excludes food and energy to remove the “weather noise”
MoM (month-over-month)	环比	vs last month
YoY (year-over-year)	同比	vs the same month last year
Base effect	基数效应	last year’s level makes this year’s y/y look higher or lower
Shelter / OER	住房 / 业主等价租金	about a third of CPI; moves slowly
Supercore	超级核心	core services excluding shelter; most wage-linked
3m annualised	三个月年化	the last three months’ pace scaled to a year
Breakeven inflation	盈亏平衡通胀率	the bond market’s bet on future inflation
Term premium	期限溢价	extra pay for lending for longer
WACC	加权平均资本成本	the discount rate applied

English	中文	One-line meaning
		to future cash flows
FOMC	联邦公开市场委员会	the Fed meeting that sets US rates

3. Everyday analogies

- **Core vs headline**: taking your temperature right after a run (an energy spike) reads high; core is like waiting ten minutes and measuring again.
- **The 2-year Treasury yield**: the whole class voting on whether the teacher will add homework (a hike); the vote changes the second the data lands.
- **Rates and growth stocks**: a seesaw. When rates rise, stocks whose profits are far in the future sink, because future money gets discounted more.

4. Cause and effect

Hot core → Fed hike seen as likelier → 2Y yield up → 10Y up → discount rate up → growth valuations down → Nasdaq and semis down. Cool core → hike odds down → yields down → valuation pressure eases → oversold semis may bounce (memory names have a separate supply problem).

5. Worked numbers (from FRED data and our calculations)

- Example 1 (y/y): August's core index is 337.765. At +0.22% m/m, September is 337.765 × 1.0022 = 338.51; last September was 330.418, so y/y = 338.51 ÷ 330.418 − 1 ≈ **2.45%**. That's exactly on the 2.4%/2.5% rounding line.
- Example 2 (3-month annualised): July, August and September core at 0.215%, 0.29% and 0.22% give (1.00215 × 1.0029 × 1.0022)^4 − 1 ≈ **2.9%**, above the 2.4% y/y, which says recent momentum is faster.
- Example 3 (a stock): over the past year, each +10bp in the 10Y came with an average same-day move of about −2.6% in ARM. If the 10Y rises 8bp tomorrow night, the rate-driven part is about −2.0%. But R^2 is only 0.04, meaning rates explain about 4% of ARM's daily moves; the rest is company and industry news.

6. Keep facts, forecasts and market expectations apart

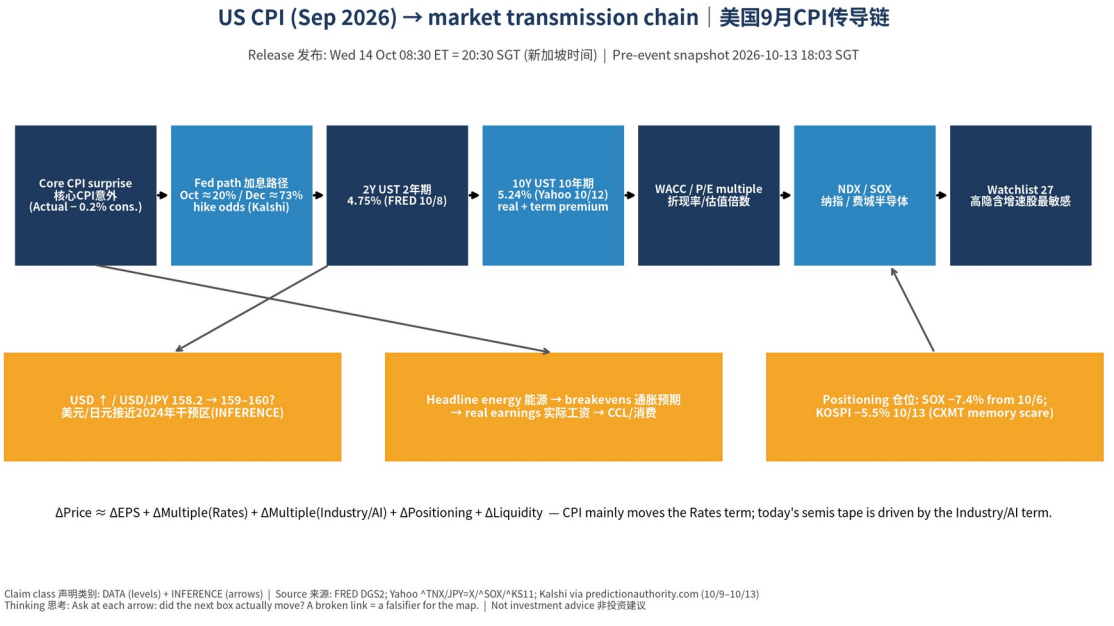
- **Facts**: August core m/m 0.29%; September payrolls +29k; unemployment 4.2%; Fed target range 3.75–4.00%.
- **Market expectations**: core m/m 0.2%; October hike odds about 20%, December about 73% (Kalshi).
- **Our forecast**: core 0.22%; scenario probabilities 25/50/25.

7. Three scenarios

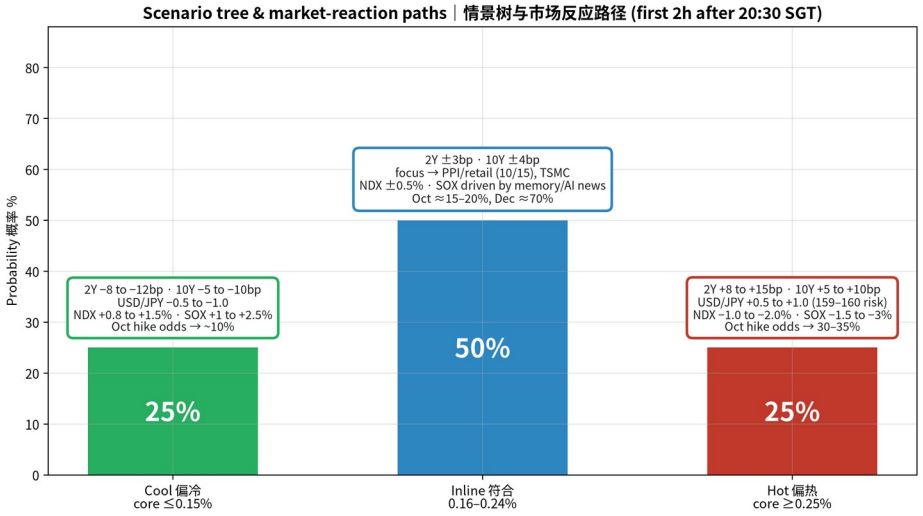
- **Cool (≤0.15%, 25%)**: yields fall; growth stocks and semis may bounce.
- **In line (0.16–0.24%, 50%)**: attention moves to Thursday's PPI, retail sales and TSMC's results.
- **Hot (≥0.25%, 25%)**: yields and the dollar rise; Nasdaq and semis come under pressure; an October hike is back on the table.

8. Counterarguments and falsifiers

- Counterpoint: a 10Y above 5.2% is mostly about fiscal supply and term premium, so neither a good nor a bad CPI may move it much.
- Falsifier: if core is hot but the 10Y falls, the market is worried about growth, and the simple "hot → rates up → stocks down" logic fails for the day.
- Self-test: core 0.18%, headline 0.75%, and the 10Y breakeven up 6bp. What do you conclude? (Hint: section 6 of the main book on energy second-round effects.)



传导链 Transmission chain



Claim class 声明类别: HYPOTHESIS (probabilities & ranges are ours, not market data) | Source 来源: OS scenario model (xlsx 'Scenarios'); market levels FRED/Yahoo 10/8–10/13
Thinking 思考: Sub-case: headline ≥0.7% with core ≤0.2% = energy shock not broadening → bonds may ignore it; watch breakevens. | Not investment advice 非投资建议

情景树 Scenario tree